

Kahneman brilliantly describes in *Thinking, Fast and Slow* (2013). People tend to anchor to the price they paid for an investment and then stubbornly hold onto the investment when it runs into trouble, irrationally waiting for it to return to the price they paid for it to get out without a loss when selling might have been the right thing to do. And after a financial loss, people often become more risk-averse, causing them to possibly miss out on the next fat pitch. People tend to overestimate the future likelihood of events that they recently experienced, and under-rate the possibility of events that haven't lately occurred. The cumulative effect of investors committing many small irrational acts can result in significant mispricings. A major challenge for investors is to be aware of, fight, and overcome their own biases, relying instead on objective realities and truths; this way, they can profit from mispricings rather than contribute to them.

Another reason to expect ongoing securities mispricings is that many investors must adhere to institutional constraints that limit their behavior. Such constraints are usually well-intentioned, but they nevertheless detract from market efficiency because they limit the pool of potential buyers and sellers for some securities. Many investment funds, for example, are required by their charters to operate within narrow silos that restrict ownership of investments to those that have an investment-grade credit rating, pay a cash dividend, or are listed on an exchange. Others are restricted to a single industry. But in investing, price is king. Almost any security is a "buy" at one price, a "hold" at another, and a "sell" at yet another. Anything that prevents investors from buying or selling the most compelling opportunities available is a constraint that can lead to inferior performance.

So how does a value investor take advantage of, rather than succumb to, all these sources of inefficient and noneconomic behavior? At my firm, The Baupost Group, we actively and deliberately seek to create a culture that minimizes the risk of irrational or biased behavior.